OFFICE OF THE ASSISTANT COMMISSIONER, DEMO RANGE, DEMO DIVISION

Sample Bhawan, Demo Road, Demoville - 000000 (fictional office)

FORM GST DRC - 01

[See rule 142(1)(a)]

Show Cause Notice No. DEMO/SCN/74/R-12/2026-27/0007 dated 05-10-2026

To,
M/s Demo Aggregates Private Limited,
GSTIN: 00AAAAA0000A1Z0,
Plot No. 1, Sample Industrial Area, Demoville - 000000.

Subject: Show Cause Notice under section 74(1) of the Central Goods and Services Tax Act, 2017 (CGST Act) for FY 2021-22, FY 2022-23 and FY 2023-24 - reg.

1. M/s Demo Aggregates Private Limited (the noticee) is registered under the CGST Act and is engaged in quarrying and supply of stone aggregate (HSN 2517) under mining lease No. DEMO/ML/2018/07 granted by the Mining Department. As per the annual returns in Form GSTR-9, the aggregate turnover of the noticee was Rs. 1,12,40,000 for FY 2021-22, Rs. 1,29,85,000 for FY 2022-23 and Rs. 1,21,30,000 for FY 2023-24.

2. On scrutiny of the returns filed in Form GSTR-1, GSTR-3B and GSTR-9 for the above years, and of the royalty challans and mineral dispatch statements received from the Mining Department, the following observations were made.

3. **Issue 1 - Supply of stone aggregate shown as nil-rated.** The dispatch statements of the Mining Department show that the noticee sold stone aggregate of the value given in column (2) of the statement below. The noticee reported these supplies as nil-rated in Form GSTR-1 and Form GSTR-3B and paid no tax. The supply is taxable at 5% under the rate notification applicable to HSN 2517.

4. **Issue 2 - Royalty paid to the Mining Department.** The noticee paid royalty to the Mining Department as per the challans, of the amount given in column (3) of the statement below. It is alleged that the service of granting mining rights is liable to tax at 18% under the reverse charge mechanism under section 9(3) of the CGST Act, and the noticee did not pay such tax.

5. **Statement of demand (Annexure-A).** The year-wise value, royalty and tax short paid are as under:

Financial Year	(2) Value of minerals sold (Rs.)	(3) Royalty paid (Rs.)	(4) GST @ 5% on minerals (Rs.)	(5) GST @ 18% RCM on royalty (Rs.)
2021-22	38,40,000	6,25,000	1,92,000	1,12,500
2022-23	52,60,000	8,40,000	2,63,000	1,51,200
2023-24	47,10,000	7,30,000	2,35,500	1,31,400
Total	**1,38,10,000**	**21,95,000**	**6,90,500**	**3,95,100**

6. It is stated that the noticee suppressed material facts and wilfully misstated the nature of its supplies with intent to evade payment of tax, and the tax is therefore demandable under section 74(1) of the CGST Act for the period FY 2021-22 to FY 2023-24.

7. **Proposed demand.** The noticee is called upon to show cause, within thirty days of the date of this notice, as to why tax of Rs. 10,85,600 (Rupees Ten Lakh Eighty Five Thousand Six Hundred only), being Rs. 6,90,500 under column (4) and Rs. 3,95,100 under column (5) of the

statement above, equally under CGST and SGST (Rs. 5,42,800 each), should not be demanded and recovered under section 74(1); why interest under section 50 should not be recovered; and why a penalty equal to the tax demanded, that is Rs. 10,85,600, should not be imposed under section 74(1).

8. In terms of section 74(8), if the noticee pays the tax with interest and a penalty equal to twenty-five per cent of the tax within thirty days of the issue of this notice, all proceedings in respect of this notice shall be deemed to be concluded.

9. The noticee shall file the reply in Form GST DRC-06 on the common portal on or before 04-11-2026, and shall appear for a personal hearing on 17-11-2026 at 11:30 a.m. before the undersigned at the above office.

10. **Documents relied upon.** RUD-1: Form GSTR-1 and GSTR-3B for the period. RUD-2: Royalty challans. RUD-3: Dispatch statements of the Mining Department. Copies of RUD-1 and RUD-2 are enclosed. RUD-3 can be inspected at this office on request.

Digitally signed by DEMO OFFICER (fictional)
Date: 2026.10.05 16:42:10 IST
Assistant Commissioner, Demo Range, Demo Division
DIN: 202610DM000000000007A